



When you run a business, a crucial job is precisely managing risk. Any organization undertaking business projects will face a certain amount of risk. You can't necessarily tackle every single risk a company faces. Instead, as a business manager or owner, you need to assess the most probable risks your company faces and also determine the ones that could have the greatest impact on your company.





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➔ CREATE A RISK IMPACT AND PROBABILITY CHART

To assess the impact and probability of each potential risk your company may face, try creating this simple tool.

1. Draw a square.
2. Label the left side of the square "Probability of Occurrence."
3. Label the bottom side of the square "Impact of Risk."

Each corner of the box now has a set of characteristics. Brainstorm the risks faced by your company, then list them where they belong on this chart. To make the chart more exact, write numbers 1 through 10 along the left side and along the bottom side of the square.

- **Bottom-left corner:** In this spot, write down risks with low probability and low impact.
- **Top-left corner:** This spot denotes any risks that have a high probability of occurring but low impact.
- **Bottom-right corner:** Any risk in this corner would have a high impact, but there is a low probability that it will occur.
- **Top-right corner:** Any risk you put in this corner has both a high probability and high impact.

This chart is a useful tool because it allows you to fully consider potential risks, then assess which of these require your attention. Any risks you write down in the top-right corner of your chart need most of your planning and vigilance. Risks in the bottom-left corner can be ignored. Risks in the other two quadrants require some planning and assessment, but not nearly as much as the high-impact, high-probability risks.

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➔ RISK ASSESSMENT

Many companies take a rear-view mirror approach to risk. They look at what has gone wrong, then put policies in place so that it doesn't happen again. One example on a large scale is the financial crisis of 2009. Banks and other companies established new rules with the hope of avoiding another financial collapse. But are those rules working in today's business climate? That is still up for debate, but this example reveals that dealing with risk after a debacle is complicated at best.

➔ RESEARCH SAYS COMPANIES ARE FOCUSED ON THE WRONG PROBLEMS

CEB, a Washington-based firm that researches best-business practices found that while strategic risks hit 86 percent of companies the hardest, most of their money and research goes into legal, financial and compliance risks.

The same study also revealed that executives involved in company strategy feel their company's decision-making process is much too slow. This decision-drag makes managing strategic risk more difficult. To that end, many of the companies studied plans to reorganize their priorities in terms of [risk management](#).

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➔ HISTORY + PLANNING

We learn from history, and while it may not be a perfect template for what is to come, it is important to look at past problems and determine how they may have been avoided.



For example, many mortgage lenders made mistakes – some even committed crimes – during the financial crisis that led to the Great Recession. Now, many of these lenders have stricter practices in place to lessen the risk of history repeating itself.



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However, these restrictions can create problems of their own. People may not be able to get a mortgage due to their credit scores alone. In the past, approvals were based on a review of the entire work and credit history. Sometimes, overcorrecting does not solve the problem of risk.

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MANAGE YOUR BUSINESS

Risk Management & Decision-Making

by Gerald Hanks ✓

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Businesses face decisions about risk nearly every day. From equipment purchases to new hires to acquisitions and closures, each business decision carries an element of risk. The key aspect of making the right business decisions comes from determining the balance between risk and reward. Companies that expose themselves to high risks with minimal rewards can gamble themselves right out of business. At the other extreme, firms that play it too safe can miss out on growth opportunities they need to survive and thrive in a competitive marketplace.

➔ IDENTIFYING RISKS

Before a business can make a decision about risks, the company must identify those risks. The sources of these risks can be from the outside, such as weather events or market fluctuations, or they can be internal, such as capital acquisitions and training expenses. Companies must identify where those risks can occur, the conditions that can bring those risks into reality and the potential damage to the business for ignoring those risks.

➔ PRIORITIZING RISKS

When identifying risks, businesses should also determine the probability that those risks will occur. Businesses that face risks that carry heavy consequences and a high probability of occurring must protect themselves against those risks first. A company based in a desert is less likely to deal with blizzard conditions as a business risk than one in a location that sees snowfall every winter, so the firm would not focus its decision-making efforts on handling such a risk.

➔ DEVELOPING STRATEGIES

Another aspect of the decision-making process lies in the development of a strategic plan. This plan can give businesses the tools they need to prevent the risks that they can avoid and reduce the damage of those they cannot stop. A strategic plan also prevents the business owners from being caught by surprise by the consequences of foreseeable risks. This preparation eases much of the decision-making process and gives business owners the tools they need to make the right calls.

➔ MEASURING PROGRESS

When potential risks become unwelcome facts, businesses must also measure and assess their decision-making processes. Business owners must measure the effectiveness of their methods, learn where mistakes were made and adapt their tactics as needed. As market conditions, legal regulations, technological innovations and customer tastes change, new risks will inevitably arise. These changes require the business to identify and prioritize these new risks, develop new strategies and reassess the strengths and weaknesses of these new processes.

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